

HEDGEYE DAILY DIGEST

Friday, August 21, 2026 (GMT+8)

The US Treasury went **“Double MAX”** on the long end and the dollar broke down again — and Hedgeye's entire book is positioned in front of it. Keith McCullough's short-USD / long-Gold, long-Euro, long-Yen complex is now joined by a **Bitcoin breakout** that picked up a **-0.88** inverse TRADE correlation to the dollar overnight. Underneath the FX story, the tape is being ripped apart by a violent momentum unwind: the **High Beta Momentum basket fell another -7.3%** while the long **Healthcare (XLV +3.5%)** side had one of its best days ever — one of the worst days of August for consensus hedge funds.

TODAY'S PUBLICATIONS

EARLY LOOK — “Double MAX Macro!”

Early Look · Keith McCullough | 20 Aug 08:22 EDT / 20 Aug 20:22 GMT+8

McCullough opens on Brennan Manning's *The Ragamuffin Gospel* — **“Although truth is not humility, humility is always truth”** — and turns it into a market argument: the broken, honest, persistent process beats the polished, certain, performance-driven one. That, he says, is the edge over “Captain Ahab and every consensus Hedge Fund getting crushed by these Double MAX Macro moves.”

The news hook is **Treasury Secretary Bessent (“Bessy”) going Double MAX on the long end** — call it yield curve control, call it manipulation. KM declines to judge the policy and instead frames the job as front-running it. He is pointedly dismissive of **Michael Saylor**, arguing a laser-eyes Bitcoin maximalist who needs the US Treasury to bail out his thesis is not where you find humility: **“The Government Saved Bitcoin.”**

The signals do the talking. The **short US Dollar (UUP)** position “saw Bessy coming from miles away”; the **Gold breakout (AAAU, GLD)** carries a TRENDING inverse correlation to USD of **-0.93**; and Wednesday's **Bitcoin breakout** immediately picked up a USD TRADE inverse correlation of **-0.88**. All three of the largest global currency positions — **long Gold, long Euros, long Yens** — are now signalling immediate-term TRADE **#Overbought** within Bullish TRENDS.

Bessent's intervention did *not* move the rates signals. The **UST 2yr Yield** broke immediate-term TRADE support weeks ago; the **UST 10yr Yield** remains **Bullish TRADE and TREND** with a Risk Range of **4.63-4.74%**; and the **10s minus 2s curve is +50bps wide**. KM's message to anyone who talks to Bessent: a down dollar alone doesn't signal US acceleration — you also need a **steepening yield curve**.

The August inflation print should help with exactly that. The **Hedgeye Inflation Nowcast for August implies headline CPI of +3.48% y/y** — **+1bp** above the last published estimate on 8/13 and **+12bps of sequential acceleration** versus the slowing the government reported for July. Middle East energy-market disruption headlines continue to drive the inflation volatility.

On factors, consensus hedge funds had one of their worst days of August. The **Most Consensus Short Healthcare basket ramped +6.4%**, and the core long **Healthcare (XLV) was +3.5%** — one of its best days ever versus widely-held Tech (XLK). **Investment implication:** stay short the dollar, own the Gold/Euro/Yen complex but respect the immediate-term overbought signals, keep the long-Healthcare vs. short-High-Beta-Momentum factor pair on, and expect the inflation re-acceleration to keep the long end sticky and the curve steep.

Risk Range™ Signals

Asset	Risk Range™	TREND
UST 10-Year Yield (UST10Y)	4.61 - 4.74	Bullish
High Yield (HYG)	79.35 - 79.86	Bullish
Investment Grade Corp Bonds (LQD)	105.4 - 106.9	Bearish
S&P 500 (SPX)	7,652 - 7,815	Bullish
NASDAQ Composite (COMPQ)	26,103 - 26,851	Bullish
Russell 2000 (RUT)	2,990 - 3,085	Bullish
Health Care (XLV)	167 - 177	Bullish
S&P 500 Equal Weight (RSP)	219.00 - 225.00	Bullish
Expanded Tech-Software (IGV)	99.00 - 106.00	Bullish
Volatility Index (VIX)	13.99 - 16.19	Bearish
U.S. Dollar Index (USD)	98.37 - 99.96	Bearish
WTI Crude Oil (WTIC)	80.95 - 88.70	Bullish
Natural Gas (NATGAS)	2.55 - 2.89	Bearish
Gold Spot (GOLD)	4,304 - 4,550	Bullish
Copper Spot (COPPER)	6.35 - 6.71	Bullish
Silver Spot (SILVER)	63 - 69	Bullish

THE MACRO SHOW — Thursday Summary Notes

The Macro Show · RPK, Sam Rahman | 20 Aug 10:12 EDT / 20 Aug 22:12 GMT+8

Positions mentioned — BULLISH: Healthcare (XLV), Euro (FXE). **BEARISH:** US Dollar (USD), High Beta Momentum Basket, Utilities (XLU).

The dollar is the linchpin. RPK described USD as the single variable sitting underneath everything, a bearish view dating back to the earlier Japan intervention. The dollar has fallen more than **1% in roughly two days** and about **2.5% quarter-to-date** — a large move by FX standards that has materially improved his global dollar-liquidity measure and could raise willingness to own dollar-denominated assets. Tactically, **USD is becoming immediate-term oversold** while the **EUR/USD long is overbought around 1.171**. **Gold rose almost 4%** on the move, with gold miners up high-single to low-double digits.

Treasury intervention has not changed the rates view. The increased buyback pushed 10s and 30s lower temporarily, but the **2-year barely moved** and much of the long-end rally had already reversed by later in the show. RPK's argument: bond investors will keep testing Treasury's resolve, and durably controlling the curve requires **Fed balance-sheet participation**. That makes **Jackson Hole** primarily an event about whether the Fed will cooperate. Risk Range levels and FX/curve positioning were unchanged.

Healthcare delivered — and some XLV was trimmed. The long-Healthcare / short-High-Beta-Momentum pairing had one of its strongest relative days: **XLV +3.5%** against the **High Beta Momentum basket -7.3%**. The immediate catalyst was the **Moderna/Merck Phase III multiple-myeloma study**, which triggered major short covering inside Healthcare and forced covering elsewhere. Importantly, XLV was **trimmed, not exited** — the view is months old, not a one-day reaction.

Utilities short reduced. Part of the **XLU** short was covered following the rates move. XLU is down roughly **-2.9% QTD** versus **XLV +10.7%**, so the divergence had already run substantially in their favour. This was a tactical reduction, not a close or a flip.

The clearest strategic change: Energy flips bullish. The reasoning — continued resource constraints, falling inventories, tightening diesel availability, geopolitical disruption, and additional upside if the dollar keeps weakening. Energy has quietly become the **strongest-performing sector year-to-date**. Sam cautioned against chasing crude after the spike; at elevated WTI/Brent levels a headline-driven pullback would offer a better entry. Within the sector they favour **refiners and oilfield services**, where the case doesn't require crude to rise indefinitely. Longer term they expect commodity supply chains to reorient toward the **Western Hemisphere** — Canada, the US, South America.

The momentum unwind is distorting the tape. The most-shortest stocks surged while crowded momentum longs were sold. Sam likened it to prior hedge-fund liquidation episodes: losses force funds to cover shorts while selling profitable longs to rebalance risk. RPK pointed to leverage and systematic momentum as amplifiers. They expect **month-end** to be a natural endpoint for some of these dynamics — until then, moves in short baskets, financials and aerospace/defence may be portfolio mechanics rather than information.

Quad roadmap: the environment remains **Monthly #Quad3**, with the model forecasting a move toward **Monthly #Quad1** next month — a forecast, not a completed transition. The tactical instruction is to **use volatility rather than chase it**: if the VIX stays beneath the top of its Risk Range, look for Signal Strength names near the *low* ends of their ranges that benefit from the Quad 1 shift. Improving dollar liquidity may also explain the emerging “dash for trash.”

Nvidia earnings next week are the major catalyst. RPK expects a beat and modestly better guidance to be broadly consensus; Sam says the variables that matter are the **magnitude of guidance and order growth**, including incremental AI infrastructure demand. Notably, strong NVDA results have often been followed by NVDA weakness as investors rotate into downstream AI beneficiaries — but those beneficiaries have since been heavily liquidated, creating a different setup this quarter. No position change was stated on Technology.

MOMO TRACKER

Momentum Stock Tracker · Christian Drake, Ryan Ricci | 20 Aug 07:23 EDT / 20 Aug 19:23 GMT+8

The headline is the signal: the **High Beta Momentum basket collapsed another -7.3% day-over-day**, while **widely-held Tech (XLK) fell just -1.1%**. That gap is the cleanest single measure of the liquidation dynamic the Macro Show spent the session unpacking — this is not a broad tech de-rating, it is a concentrated unwind of the crowded high-beta momentum cohort. The published note is a dashboard of price, volume, volatility and sentiment data rather than narrative research, and it uses the Risk Range Signals as published that morning.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks | 20 Aug 15:44 EDT / 21 Aug 03:44 GMT+8

The screen contracted to **87 stocks**, with **3 added** and **6 removed**. **Added: HLT, WRBY, NOW**. **Removed: FCFS, SITM, BA, PRMB, HD, NBIS**. Net attrition of three names — down from **90** the prior session — is consistent with the momentum unwind chewing through signal strength at the high-beta end of the list. Note **HD** was added only the prior day and has already dropped out.

CAPITAL ALLOCATION PRO — Daily Dashboard

Capital Allocation Pro · McGroarty, Nanai, Salem | 20 Aug 08:18 EDT / 20 Aug 20:18 GMT+8

The daily dashboard confirms that the Model Portfolio changes catalogued the prior day **went into effect using closing prices on Wednesday, 19 August 2026** — principally the removal of the longstanding **1% “placeholder” positions in TLT, LQD and TIP** (see Yesterday, below). Trend and Tail levels for the **68 ETFs** in the universe remain those refreshed on **31 July** closing prices, on the standard three-to-four week update cycle. No further portfolio changes were announced.

BITCOIN TREND TRACKER — Crypto Quant

Bitcoin Trend Tracker · Steiner, Drake, Cooper | 20 Aug 08:37 EDT / 20 Aug 20:37 GMT+8

BTC +4.0% overnight — the breakout McCullough tied directly to the Treasury's long-end intervention and the dollar breakdown, with a fresh **-0.88** inverse TRADE correlation to USD. The team notes they are travelling this week, so coverage is limited to **Risk Range updates**; the on-chain and ETF-flow sections resume next week. Risk range calculations reflect pre-market prices as of roughly 06:00 EST.

ETF PRO PLUS

ETF Pro Plus | 20 Aug 09:50 EDT / 20 Aug 21:50 GMT+8

1 new ETF Pro change was published to the dashboard, a marked slowdown from the **3 changes** flagged the prior session. Detail sits in the ETF Pro Plus dashboard rather than the feed item.

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Always Check the Treetops”

Early Look · Matthew Cooper | 19 Aug 07:47 EDT / 19 Aug 19:47 GMT+8

What: A golf-metaphor argument that anyone expecting an immediate housing recovery is reading the wrong wind — watching the front-end and the Fed (the grass at three feet) instead of the long end (the treetops).

Why: Nobody finances a house with the 2-year. Housing needs the **long end** to come in, and it isn't. The **UST 10yr and 30yr Yields are both still Bullish TREND**, and **10s minus 2s has steepened to +53bps** from **+25bps in late June**. The Quad path says inflation risk still outranks recession risk: **seven of the next eight months** carry a 50%+ conditional probability of Real PCE accelerating sequentially, and **3 of the next 5** for inflation. Treasury issuance is increasingly anchored on the short end while AI-related capex adds corporate duration supply at the long end.

Who: Matthew Cooper (Macro, Housing, Financials & Digital Assets), citing **Ed Pinto of AEI**, hosted with **Josh Steiner** and **JT Taylor**. Pinto declined to forecast but was clear he is not expecting 5% mortgage rates anytime soon.

Key numbers: Headline CPI modelled at **3.43% in 3Q26** and **3.61% in 4Q26**, not breaking meaningfully lower until **1.72% in 2Q27**. CPI Nowcast expects an **11bp acceleration** in headline y/y on the **11 September** print. Mortgage rates stuck in a **6-7%** band since mid-2022. Purchase lock volume **-31%** vs. the same 2019 week; existing home sales roughly **-18%** vs. 2019; June HPA **+1.6% nominal** but roughly **-2.5% real**, with **42 of the 54** largest metros negative in real terms.

Takeaway: Housing is one of the best ways to play the eventual disinflation trade, but the timing is not now. The better expression of a steepening curve today is **Financials** — the Position Monitor is as long-tilted as it has been in a while, with **15 Best Idea Longs against 4 Best Idea Shorts**, and two of those four shorts are

housing names.

KM'S TOP 3 THINGS (USD / Asia / Factors)

From The Desk · Keith McCullough | 19 Aug 07:31 EDT / 19 Aug 19:31 GMT+8

What: McCullough's three-point desk note on the dollar, the Asian momentum break, and factor exposure.

Why: The #GoAnywhere argument — keep moving, follow the flows, don't be levered long a single crowded momentum trade. He notes that in **27 years** of playing the game it is rare to be long both **Euros (FXE)** and **Yens (FXY)** at the same time; he is, alongside short **USD (UUP)** and long **Gold (AAAU)**.

Who: Keith McCullough. Assets referenced: FXE, FXY, UUP, AAAU, XLV, IGV, QTUM, ROBO, JEDI; markets in South Korea, Japan and China.

Key numbers: Gold **+0.8%** that morning after a buying opportunity the prior day. **South Korea's KOSPI -5.8%** after breaking the Hedgeye TRADE Momentum signal of **6798**. **Japan -3.2%** after breaking TRADE, on Bessent's plans for the Yen. **China -2.4%**, failing at TREND. **XLV +1.6%** versus the High Beta Mo basket **-6.4%** on the day and **-11.4%** over the month. The retail-favourite consensus basket fell another **-4.0%**, taking it back to flat year-to-date. Risk Ranges: **SPX 7,652-7,811**; **UST 10yr 4.63-4.74%**.

Takeaway: Long Healthcare versus short High Beta Momentum was “big time alpha.” For non-consensus US growth exposure he is buying **IGV, QTUM, ROBO and JEDI** on sale rather than chasing the crowded momentum names.

THE MACRO SHOW — Wednesday Summary Notes

The Macro Show · Keith McCullough, Emma Vlasic | 19 Aug 12:08 EDT / 20 Aug 00:08 GMT+8

What: The most consequential positioning session of the week. **BULLISH:** FXE, FXY, AAAU, XLV, ENZL, EPHE, IGV, QTUM, ROBO, JEDI, LLY, Colombia, EWZ, CPER/ICOP. **BEARISH:** UUP, XLU, QAT.

Why: After three consecutive down days, McCullough reversed the short-side build he had begun the prior Thursday: “**Now I've covered most of my shorts and I'm buying longs.**” The rationale was decelerating volume into the third down day with volatility conditions not materially deteriorating, plus Tier 1 Alpha's **7649** flip line keeping gamma positive — a buy-dips / sell-rips setup rather than a permanent directional call.

Who: Keith McCullough with Institutional Salesperson Emma Vlasic.

Key numbers: Euro long being trimmed near overbought; dollar oversold on an immediate-term basis — **profit-taking, not a thesis reversal**. **Colombia GDP accelerating to +3.5% y/y from +2.2%**, with the market at an all-time high. **Brazil (EWZ)** flagged as the only problem position out of roughly **30**, with a possible same-day exit floated but not confirmed. **Qatar (QAT)** is the only country short. Copper to be bought near the low end of its Risk Range, building a position in **ICOP**.

Takeaway: Buy *specific* stocks and factors, not the index — he explicitly declined to buy the S&P 500 or Nasdaq simply because they corrected. **Eli Lilly (LLY)** is now the longest-standing Signal Strength long in managed accounts, framed directly against META, which sits on the Signal Strength *short* list: “**We don't own Meta. We own Lilly.**” Labour data does not change the Quad outlook — he argued the labour bears have been wrong and the data remains consistent with the transition toward Quad 1 and Quad 2. On small caps: “**It's bullish**” — the Russell 2000 is Bullish TRADE and TREND, and the top of its Risk Range would be a new all-time high.

CAPITAL ALLOCATION PRO — Model Portfolio Changes

Capital Allocation Pro · McGroarty, Nanai, Salem | 19 Aug 12:31 EDT / 20 Aug 00:31 GMT+8

What: Model Portfolio changes effective on **Wednesday 19 August 2026** closing prices, headlined by the elimination of the longstanding **1% “placeholder” positions in three fixed income ETFs — TLT, LQD and TIP.**

Why: A deliberate abandonment of the placeholder policy, which had kept minimally-sized positions in exposures the team expects to scale up eventually, purely to reduce subscriber workload when reallocating. Subscriber feedback indicated the balance between workload and portfolio optimisation was struck in the wrong place.

Who: Robert McGroarty, Andrew Nanai and David Salem, for Hedgeye Asset Management.

Key numbers: Three **1%** positions removed across all four Model Portfolios; **68 ETFs** in the covered universe with Trend and Tail levels last refreshed on **31 July** closes.

Takeaway: A housekeeping change rather than a macro call, but it does mean the Model Portfolios now carry **no token duration exposure** — consistent with 10s and 30s still signalling Bullish TREND. The team reaffirmed its commitment to keeping turnover at a reasonable minimum.

SIGNAL STRENGTH STOCKS

Signal Strength Stocks | 19 Aug 12:02 EDT / 20 Aug 00:02 GMT+8

What: **90 stocks** on the screen, **3 added** and **3 removed**. **Added:** SBUX, HD, GO.

Why / Takeaway: A flat net count, with the additions skewing toward consumer names rather than high-beta growth — consistent with the factor rotation out of momentum. Note the list had run at **89** on Monday and **90** on Tuesday before contracting to **87** by Thursday's close.

ETF PRO PLUS & CRYPTO QUANT

ETF Pro Plus / Bitcoin Trend Tracker | 19 Aug 10:51 & 08:16 EDT / 19 Aug 22:51 & 20:16 GMT+8

What: **3 new ETF Pro changes** published to the dashboard, and a Crypto Quant update with **BTC -0.1%.**

Takeaway: Bitcoin was flat on Wednesday morning before the Treasury long-end intervention triggered the **+4.0%** breakout reported Thursday — a clean before-and-after on how much of the crypto move was a dollar story rather than a crypto story.

Grouping note: Hedgeye publishes on a US Eastern schedule and does not publish at weekends. For this 06:00 GMT+8 run, “Today” covers the most recent Hedgeye publishing session (Thursday 20 August EDT, which lands on the evening of 20 August and the early hours of 21 August GMT+8) and “Yesterday” covers Wednesday 19 August EDT.